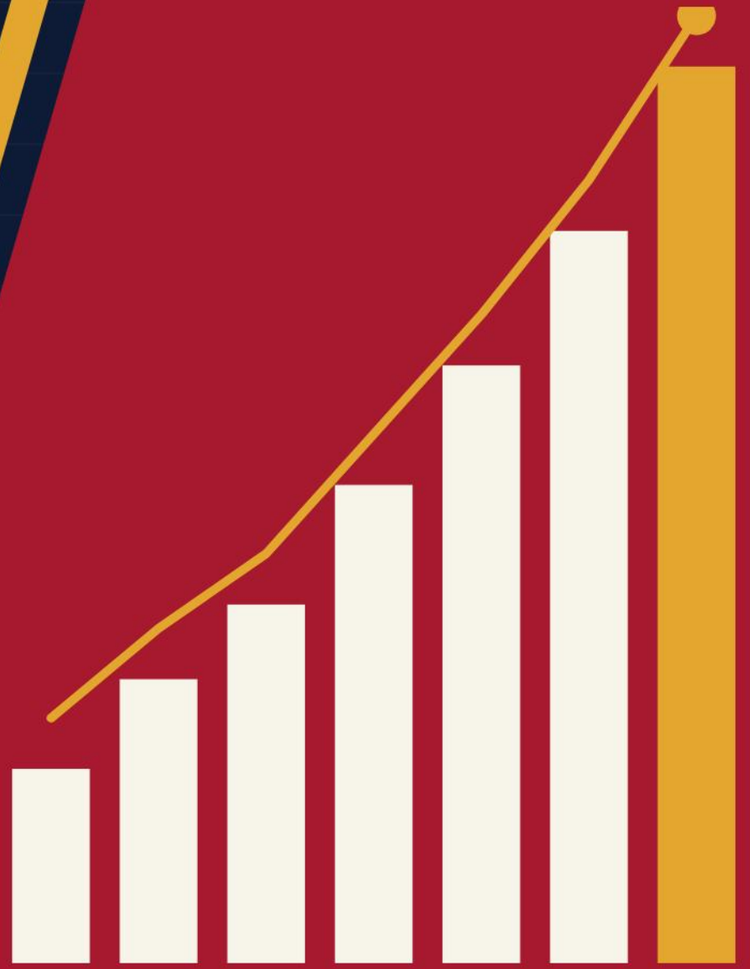
SPM 261 · WEEK 11-1

COLLEGE ATHLETICS: SIGNIFICANT GROWTH

SPM 261 Introduction to Sport Management



Click, scroll wheel, or press → to continue · N for notes

DO YOU FOLLOW ANY COLLEGE SPORTING TEAM(S)?

IF SO WHY? IF NOT WHY NOT?



ARCADIA KNIGHTS

College Football Playoff- $5.64 billion/12-year deal (WSJ, 2013)

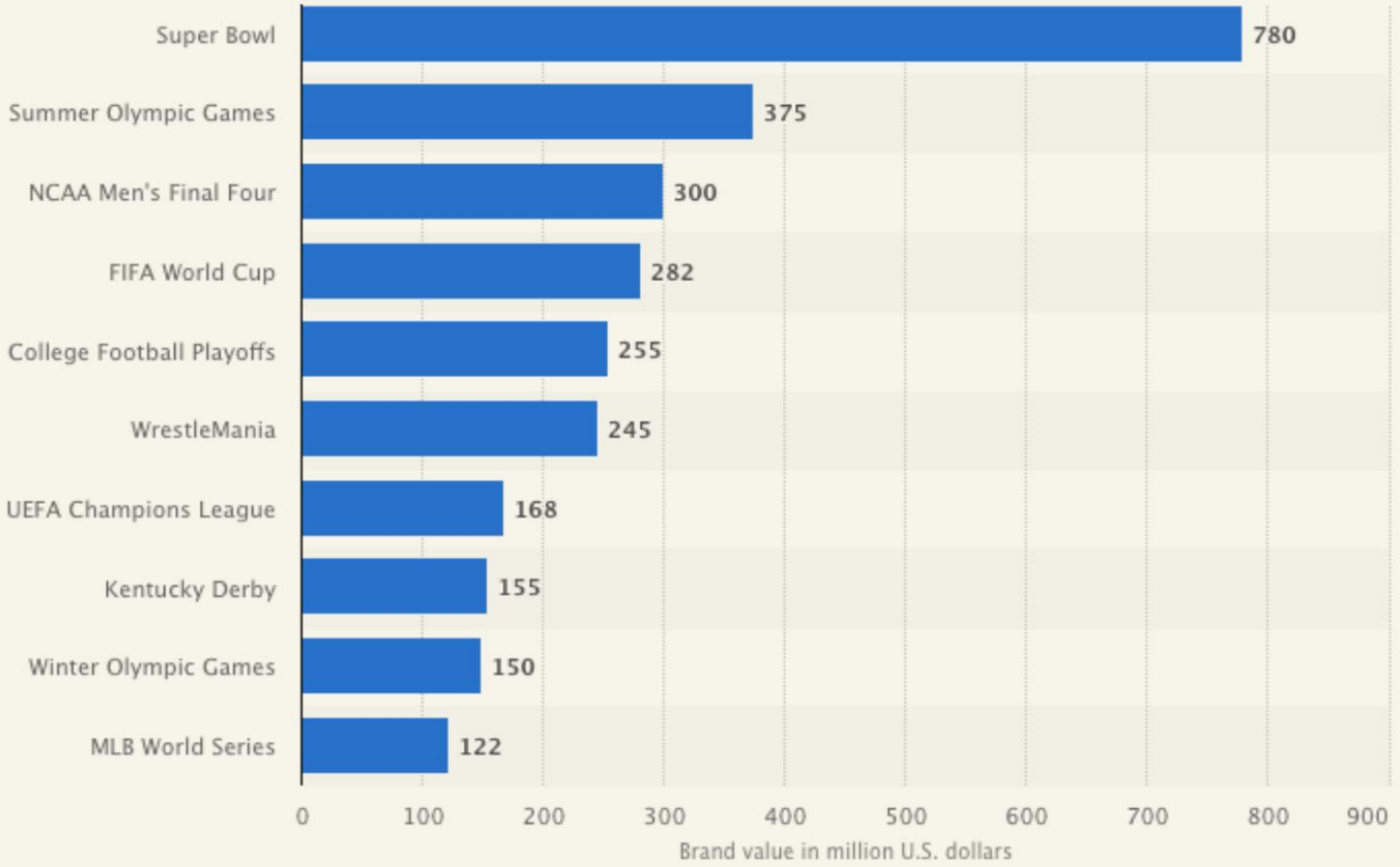
— Source: forbes.com



$4.6 billion in annual retail sales for licensed merchandise (MLB-$5 billion > NFL $3.25 billion)



MOST VALUABLE SPORTS EVENTS BRANDS WORLDWIDE IN 2019



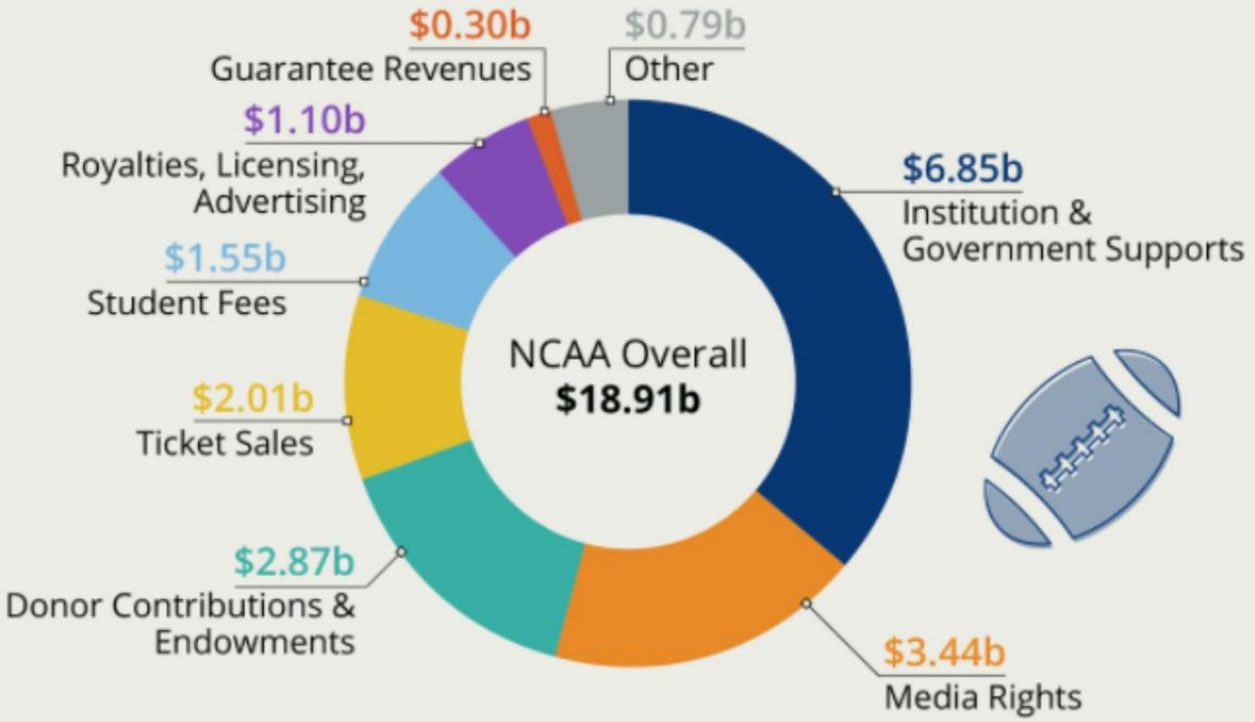
Source: statista.com

WHERE THE MONEY COMES FROM

01

U.S. College Sports Are A Billion-Dollar Game

Total revenue generated by NCAA athletic departments in 2019, by source

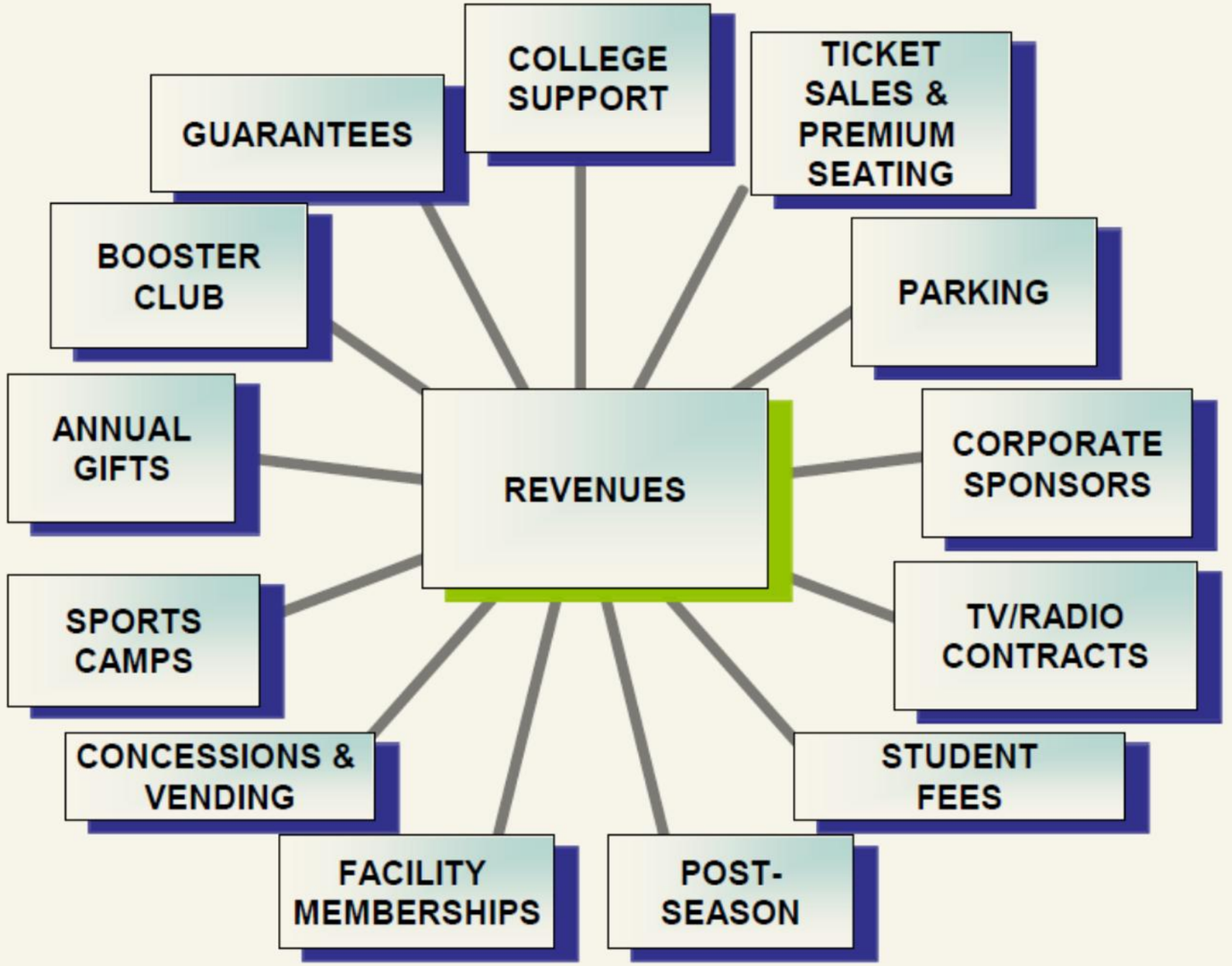


Source: National Collegiate Athletic Association

01

Source: statista.com

ATHLETIC REVENUE



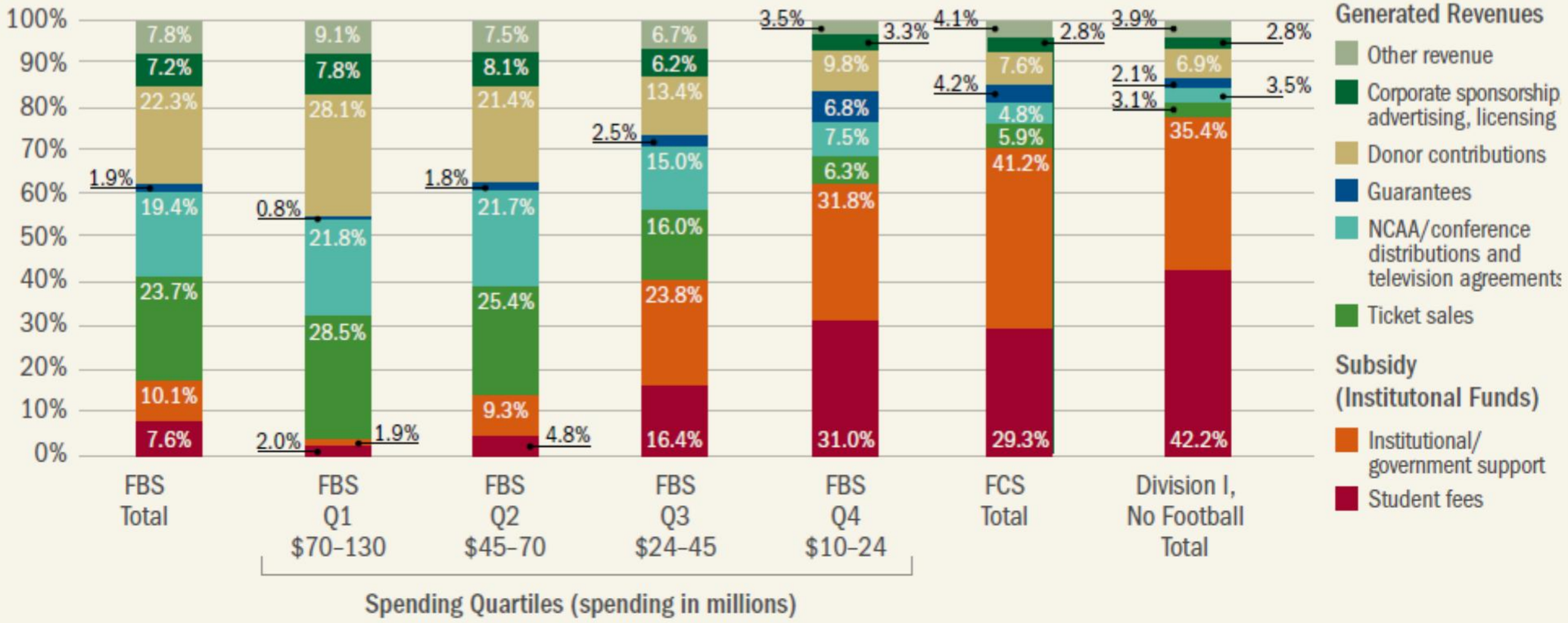
01

Source: usatoday.com

PROBLEMS?

01

Figure 3. Where the Money Comes From: Source of Athletic Budget Revenues for Division I Colleges, by Subdivision, 2010

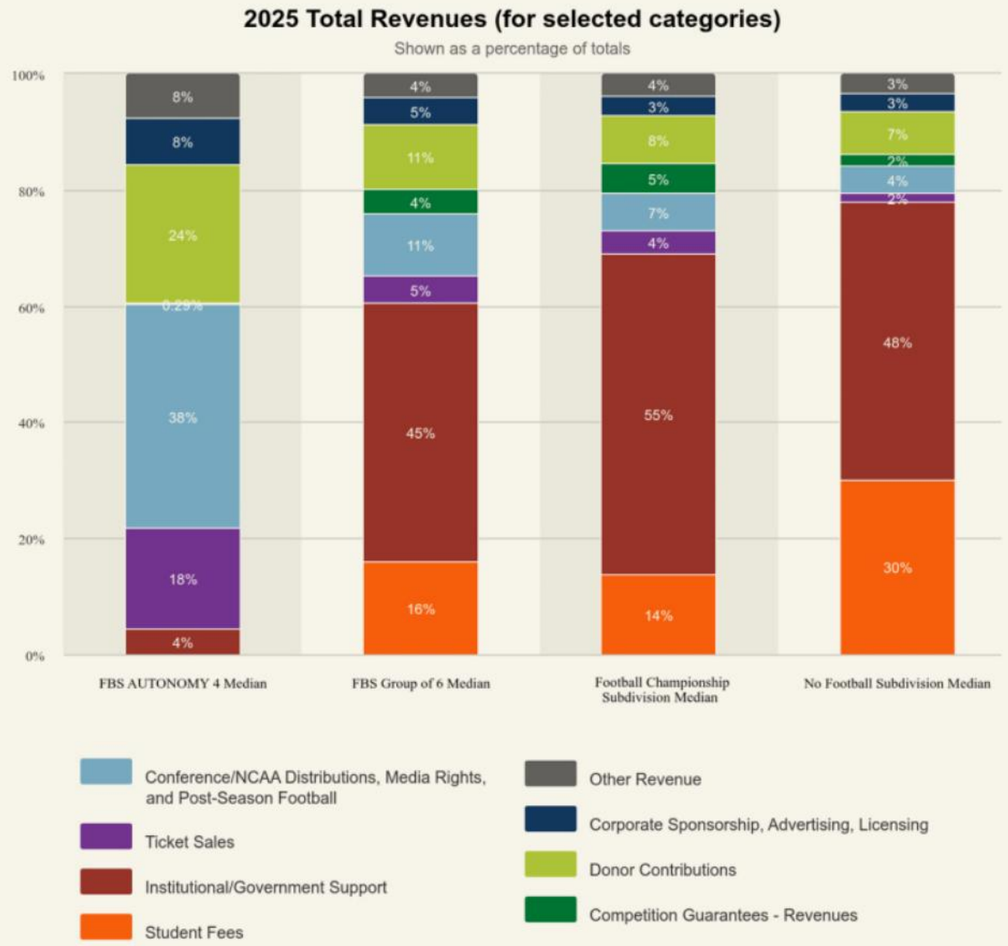


PROBLEMS?

01

AFTER 15 YEARS...

- FBS Autonomy (56 public schools)
- FBS Group of 6 (59 public schools)
- FCS (76 public schools)
- No football (48 public schools)



NEW REVENUE STREAM

01

EXAMPLES OF NEW REVENUE STREAM

Conference by conference

% INCREASE FROM 2010-12		MEDIAN BUDGET	
ACC	14.60%	ACC	$60.5M
Big 12	12.60%	Big 12	$57.8M
Big East	11.20%	Big East	$62.0M
Big Ten	10.10%	Big Ten	$78.8M
Pac-12	9.10%	Pac-12	$55.8M
SEC	8.40%	SEC	$90.3M

* Projections were used for schools whose 2012 budget



NEW REVENUE STREAM CONT.

01

SPORTS BETTING

NEW REVENUE STREAM CONT.

01

Mobile sports wagering is set to begin on **March 11, 2024** in North Carolina

By law, betting companies pay an **18%** tax rate, with those funds distributed to several state agencies and organizations, including public university athletic departments

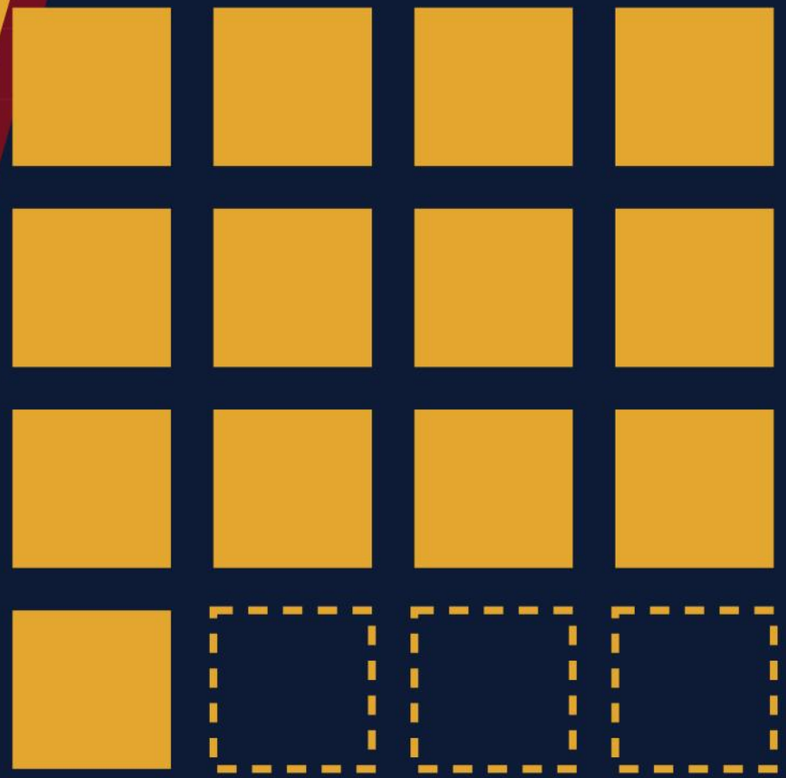
SPORT FINANCE · NORTH CAROLINA

SPORTS BETTING & PUBLIC UNIVERSITY ATHLETICS

$21 MILLION

for NC's public universities. Here's how they're spending it.

— Source: Brianna Atkinson, WUNC News, January 17, 2025



◆ WHO GETS IT

13 UNIVERSITIES IN, 3 LEFT OUT

01

INCLUDED

APPALACHIAN STATE · EAST CAROLINA · ELIZABETH CITY STATE · FAYETTEVILLE STATE · N.C. A&T · NC CENTRAL · UNC ASHEVILLE · UNC CHARLOTTE · UNC GREENSBORO · UNC PEMBROKE · UNC WILMINGTON · WESTERN CAROLINA · WINSTON-SALEM STATE

Plus $17M non-recurring state funds to 10 schools: $10M in 2023–24, $7M split this year.

NOT INCLUDED

UNC School of the Arts: no athletics department.

UNC-Chapel Hill & NC State: already have other revenue streams, such as multimillion-dollar media rights contracts.

Source: WUNC News; UNC System Board of Governors

◆ THE RULES

01

BOARD OF GOVERNORS PRIORITIES

There are few rules on spending. Chancellors are told to use the money first to:

1. Address deficits
2. Rely less on non-athletics funds
3. Hold down student fees

Athletic fees run about $770–$900 a year.

> "...the financial sustainability of the athletic programs, which for many of our institutions is a financial Achilles' heel."
>
> JENNIFER HAYGOOD, UNC SYSTEM CFO

— Source: WUNC News, January 17, 2025

◆ HOW SCHOOLS SPEND IT

01

SIX SCHOOLS EXPLAIN THEIR PLANS

SCHOOL	USE OF SPORTS BETTING MONEY
APPALACHIAN STATE	$3.3M toward a $29M indoor practice facility. Later, travel costs.
N.C. A&T	Student health: trainers, strength coaches, nutritionists, mental health.
UNC ASHEVILLE	Staff salaries and mental health. No student fee increase. Helene relocation costs.
UNC PEMBROKE	Avoided a $1.7M deficit. Needs at least $2M a year to be sustainable.
WESTERN CAROLINA	Keep coaches and scholarships. Later, more assistant coaches.
WINSTON-SALEM STATE	Upgrades to basketball venue, locker rooms, tennis courts and fueling station.

Source: WUNC News. WUNC asked all 13 schools; six responded with details.

“Had it not been for the gaming receipts, we would have had to either cut expenses significantly. Or depend on our university to bail us out. Or continue to ratchet up on student fees.

ALEX GARY · DIRECTOR OF ATHLETICS, WESTERN CAROLINA UNIVERSITY

DISCUSSION

1. Critics warn of problem gambling, and college students are especially at risk. Should athletics be funded by betting?
2. Should UNC-Chapel Hill and NC State share in the money?
3. Is betting revenue a reliable base for a long-term athletics budget?

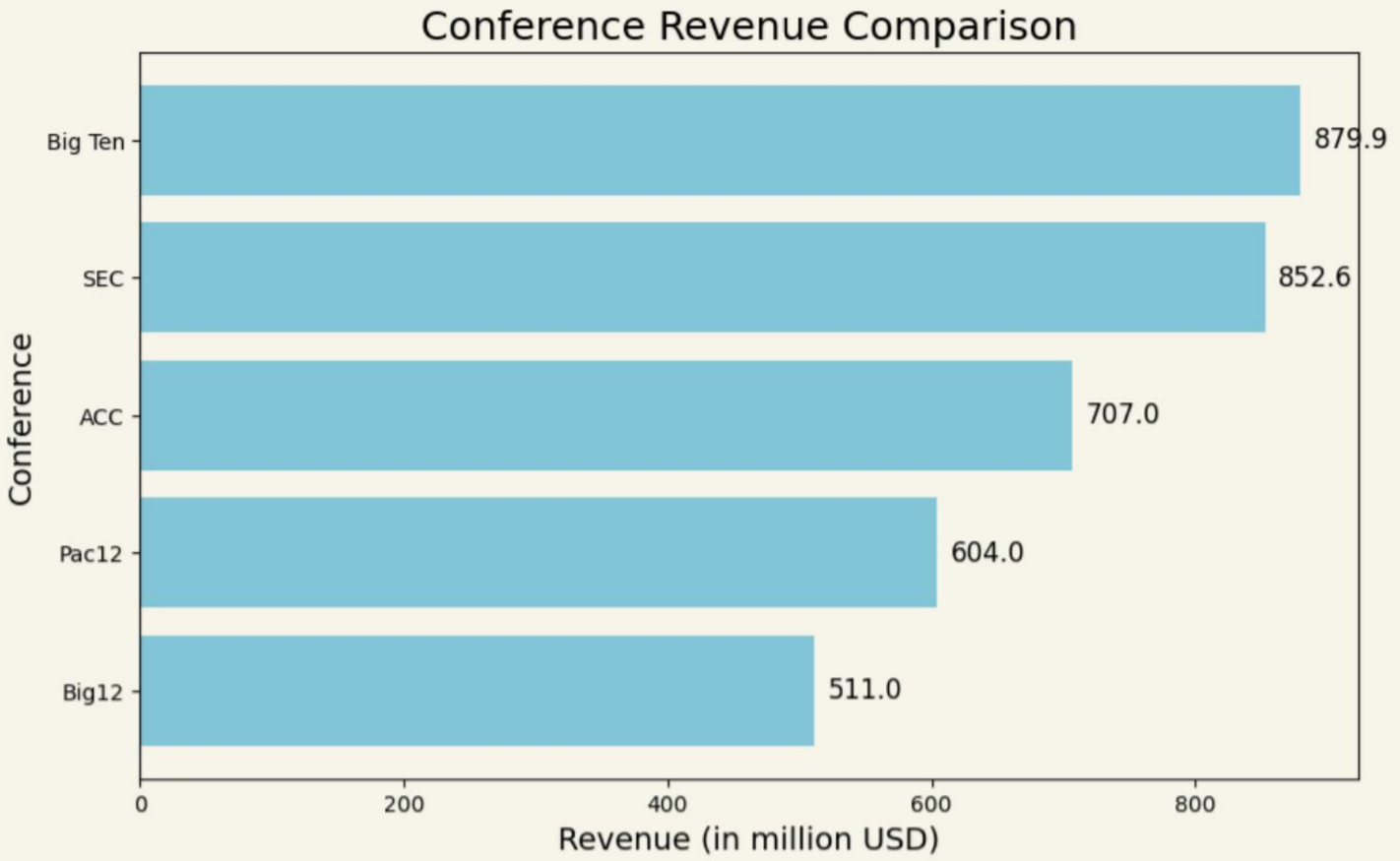
DIVISION I TOTAL REVENUE- **$20.5 Billion**

DIVISION II TOTAL REVENUE- **4.37%** of total NCAA revenue

DIVISION III TOTAL REVENUE- **3.18%** of total NCAA revenue

THE FIVE LEAGUES COMBINED TO GENERATE $3.55 BILLION IN THE 2022-23 FISCAL YEAR

01



Source: foxsports.com

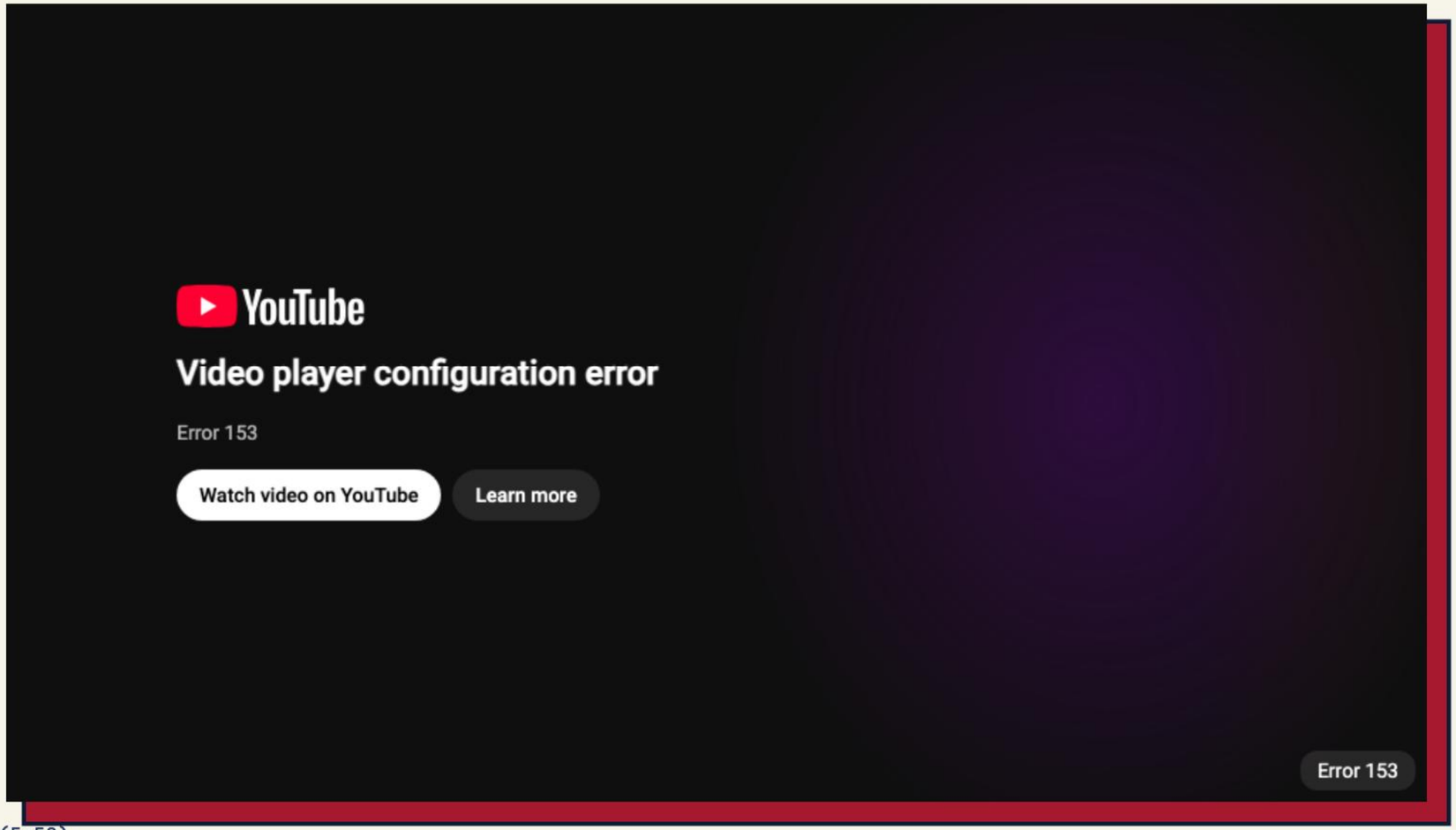
Current Power 4 Conference media rights deals

Conference/ property	Media partner(s)	Deal length (years)	Expiration year	Total value ($M)	Average annual value ($M)	Schools in 2024-25 season
Big Ten	FOX/NBC/CBS	7	2030	8,050	1,150	18
SEC	ESPN	10	2034	7,100	710	16
ACC	ESPN	20	2036	4,800	240	18
Big 12	FOX/ESPN	13	2025	2,600	200	16

Source: spglobal.com

WHAT ABOUT IN SMALL SCHOOL ATHLETICS?

01

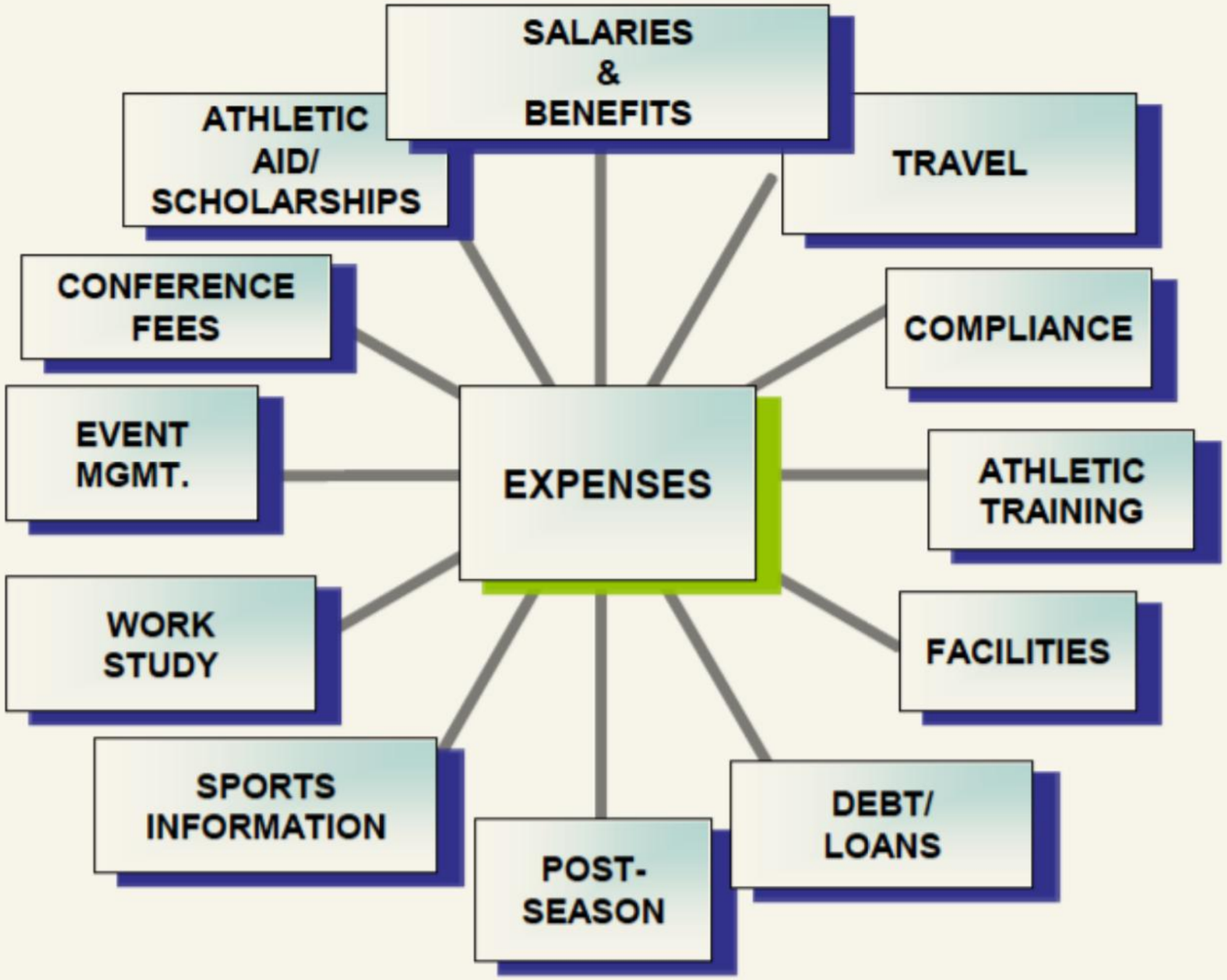


Source: youtube.com (5:50)

WHERE THE MONEY GOES

02

ATHLETIC EXPENDITURE



02

ATHLETIC EXPENDITURE CONT.

02

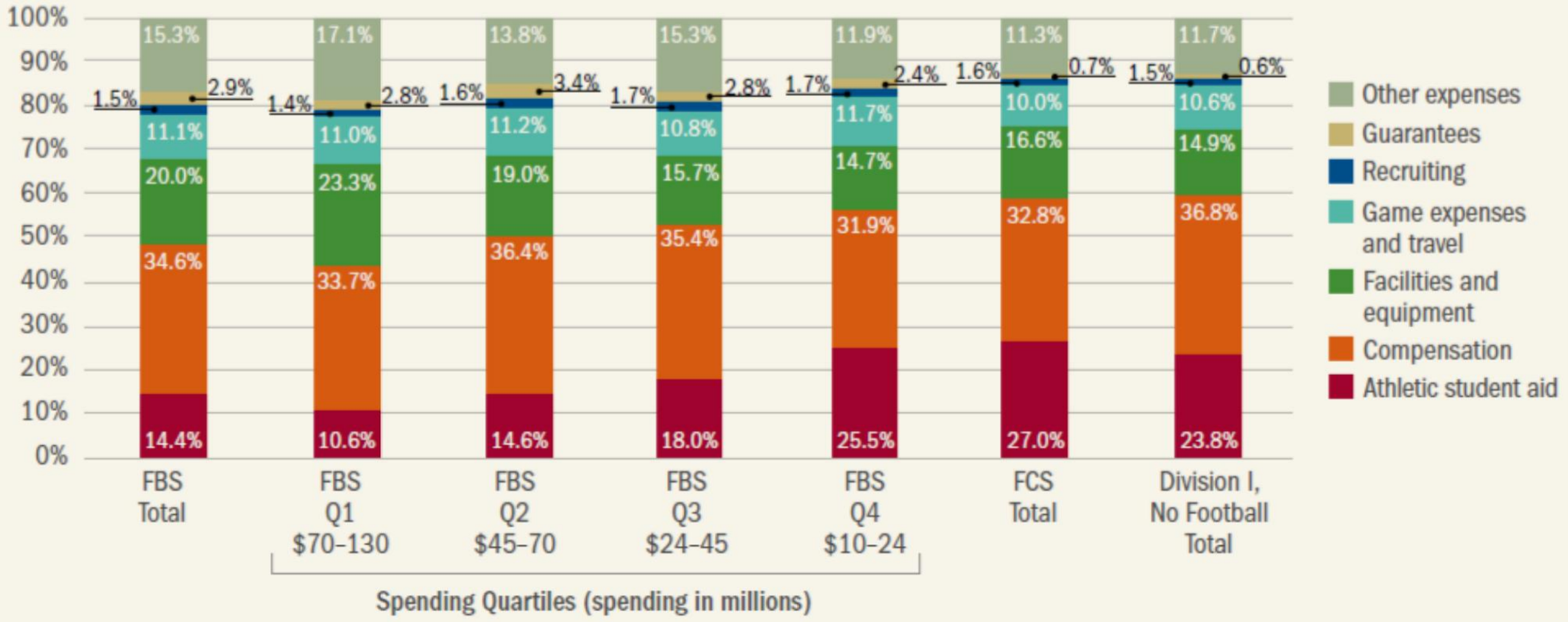
- Despite large disparities in the overall size of athletic budgets across the Division I subdivisions, spending patterns reveal more similarities than differences.

WHAT IS THE LARGEST EXPENSE OF ATHLETIC BUDGETS?

ATHLETIC EXPENDITURE CONT.

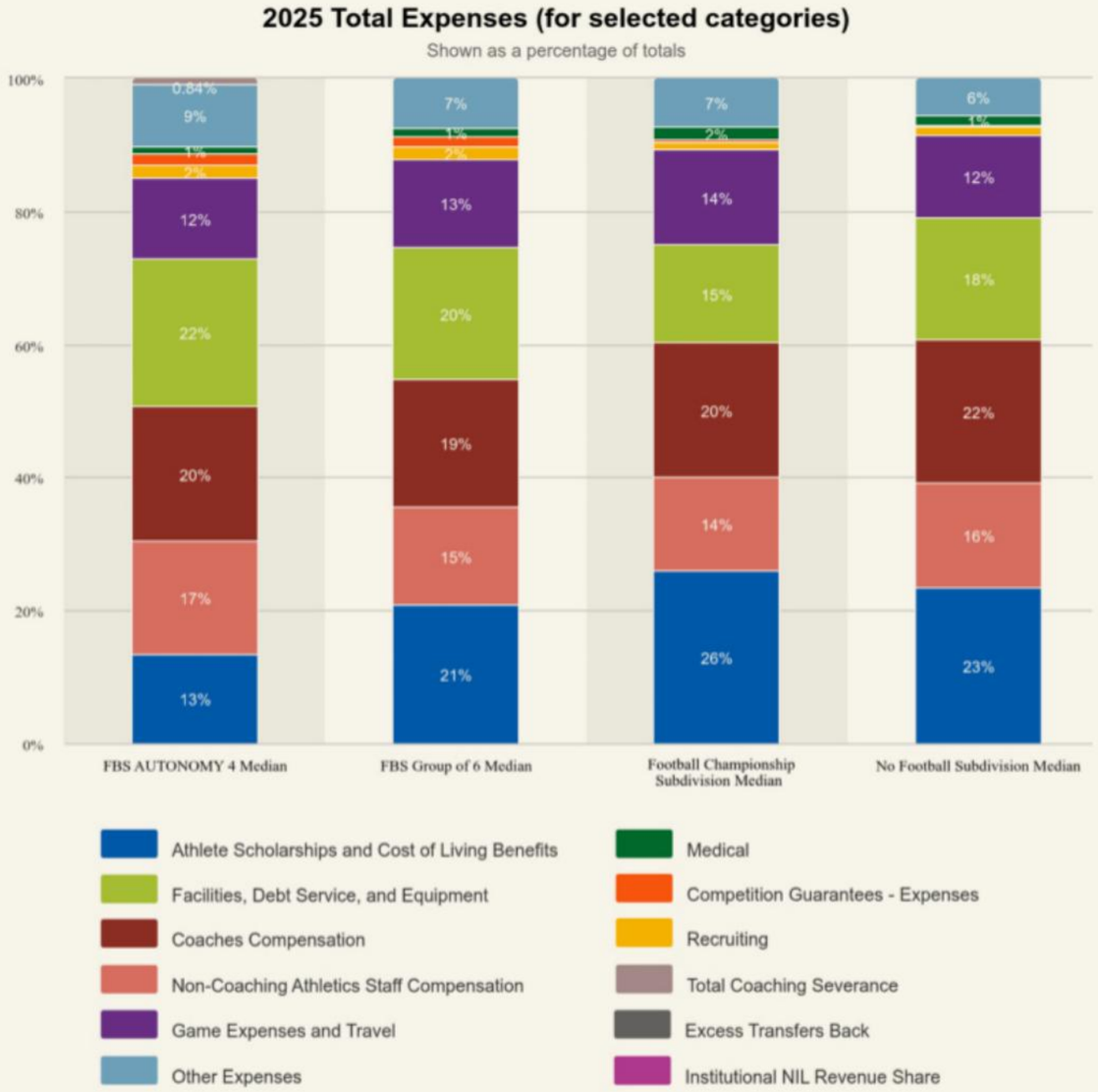
02

Figure 2. Where the Money Goes: Distribution of Athletic Expenditures for Division I Colleges, by Subdivision, 2010



ATHLETIC EXPENDITURE CONT.

AFTER 15 YEARS...



EQUITY IN ATHLETICS DISCLOSURE ACT (EADA)- SINCE 1994

02

EQUITY IN ATHLETICS DISCLOSURE ACT (EADA)- SINCE 1994

02

- [ ] Any co-educational institution of higher education that participates in a federal student aid program (Title IV), and have an intercollegiate athletic program must prepare an EADA report by Oct. 15.
- [ ] Institutions must also report data to the US Department of Education via online survey.
- [ ] To know the school's commitment to providing equitable athletic opportunities for its men and women students.
- [ ] Title IV (federal student financial assistant program)

Source: ope.ed.gov/athletics

EQUITY IN ATHLETICS DISCLOSURE ACT (EADA)

02

(1) Total number of athletes in both men's teams and women's teams (use unduplicated counts)
Men_____ Women _____

(2) There are nine head coaches for the women's sports in Arcadia. (T / F)

(3) What is the average annual salary for men's (sports) head coach? _____

(4) Women's teams have more recruiting expenses than men's teams. (T / F)

(5) Women's teams have greater total operating expenses than men's teams. (T / F)

(6) Which team has the largest number of athletes in each men's and women's team?
Men_____ Women _____

(7) In 2024-25 fiscal year what was the net income of Arcadia's Athletics?_____

Source: ope.ed.gov/athletics

PROBLEMS? CONT.

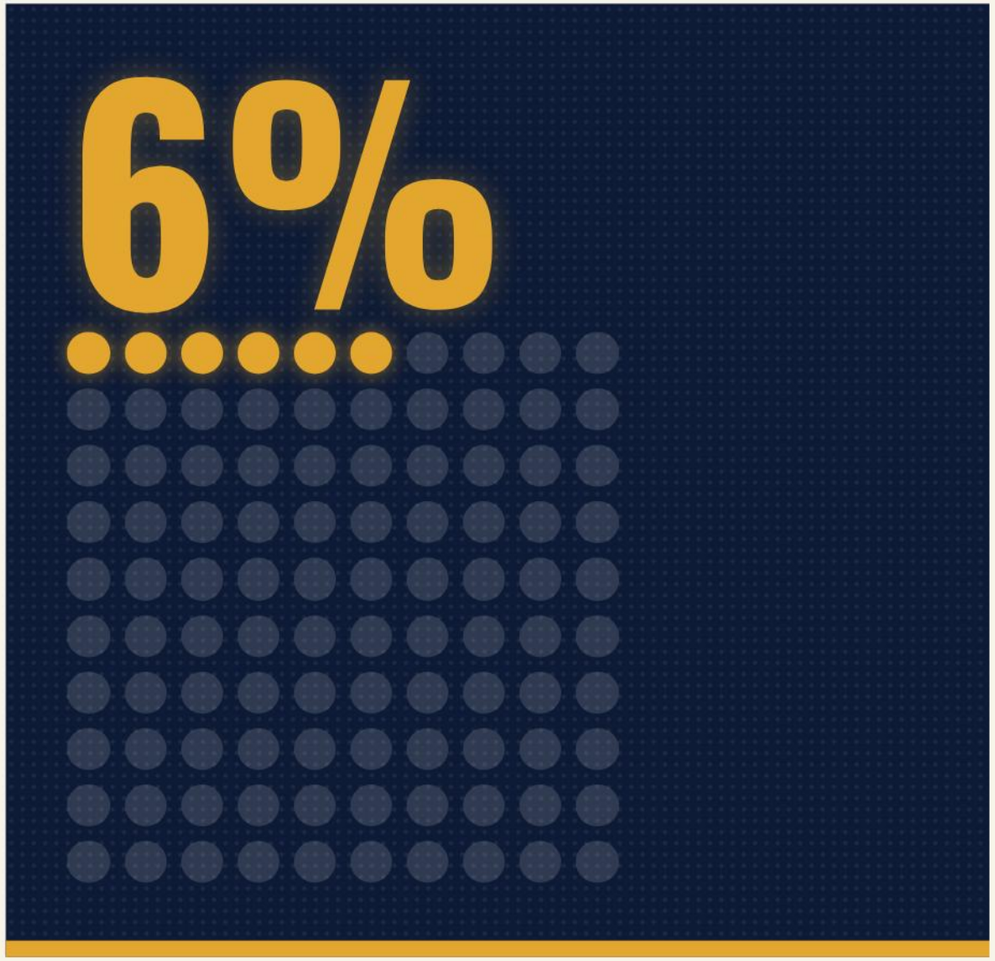
02

- Colleges' Athletics Arms Race is for Losers (Bloomberg Business, 2013)
  - In 2011 median academic spending per student at D-1 was $13,736, while athletic spending per athlete was $96,948 (seven times as much).
- Big-Risk Business Model (USAToday, 2012)
  - Very few D-1 athletic department are self-funded.
  - 7 of 228 athletic departments at NCAA D-1 public schools generated enough money on their own to cover their expenses in 2012 (i.e., without any subsidy).

LSU, TEXAS, OHIO STATE, OKLAHOMA, PENN STATE, NEBRASKA, PURDUE



Out of roughly 370 NCAA Division I athletic departments, only about 20 to 25 programs are completely self-funded.



DIII ATHLETICS

03

AVERAGE NUMBER OF NCAA TEAMS PER SCHOOL

20

Source: 2025-26 NCAA Sport Sponsorship and Participation Data.

STUDENT-ATHLETE TO UNDERGRADUATE RATIO

1 in 5



NCAA STUDENT-ATHLETE PARTICIPATION

	DIVISION III	NCAA (ALL DIVISIONS)
MEN'S SPORTS	124K (59%)	316K (57%)
WOMEN'S SPORTS	86K (41%)	239K (43%)
TOTAL	210K	555K

Source: 2025-26 NCAA Sport Sponsorship and Participation Data.

MEMBERSHIP OVERVIEW



416 Active Members

42 Division III Voting Conferences

422 *Total*
4 *Provisional*
2 *Reclassifying to DIII*

80% (331) private

20% (85) public

Source: 2026-27 NCAA Membership Data.

REVENUE



Source: 3.18% of NCAA operating revenue allocation

CHAMPIONSHIPS

(29 DIVISION III SPECIFIC)

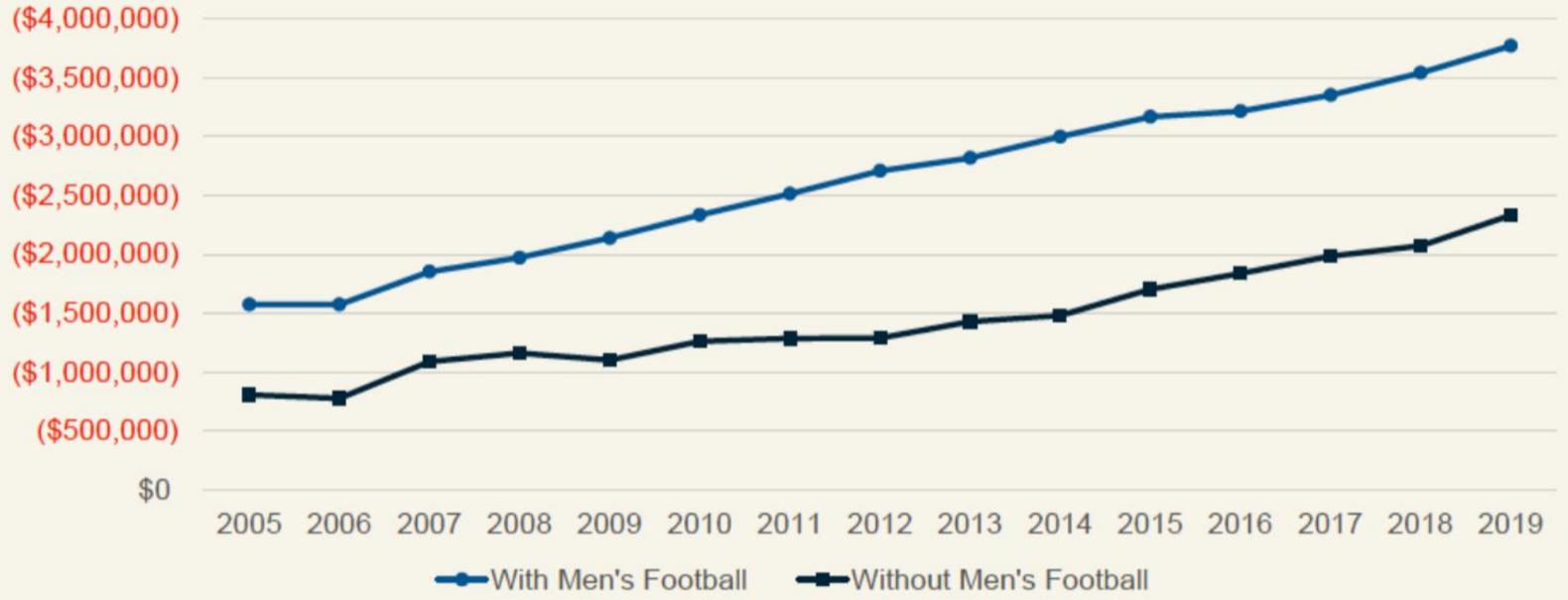
	MEN'S BUDGET	WOMEN'S BUDGET
Baseball	$3,093,721	N/A
Basketball	$2,083,792	$2,107,300
Cross Country	$846,056	$869,164
Field Hockey	N/A	$817,999
Football	$3,720,707	N/A
Golf	$1,061,520	$804,240
Ice Hockey	$801,729	$566,423
Lacrosse	$1,641,734	$1,776,890
Rowing	N/A	$435,241
Soccer	$2,099,171	$2,131,502
Softball	N/A	$2,820,758
Swimming and Diving	$969,913	$982,738
Tennis	$1,005,765	$1,067,082
Indoor Track and Field	$1,130,319	$1,010,498
Outdoor Track and Field	$1,521,379	$1,433,906
Volleyball	$585,705	$1,869,010
Wrestling	$930,982	$10,000
Overall Totals	**$21,492,493**	**$18,702,751**

Source: NCAA Financial Statements

DIII ATHLETICS FINANCES- 15-YEAR TRENDS CONT.

03

Division III Net Operating Results Excluding Allocated Support With and Without Football (2005-2019)



NCAA Research

Percentage increase from 2005 to 2019:
With Men's Football = 139.8%
Without Men's Football = 189.7%

DIII ATHLETICS FINANCES- 15-YEAR TRENDS CONT.

03

Summary of 2019 Division III Financial Dashboards

	Division III with men's football	Division III without men's football	Overall
Number of schools that reported financial data	135	74	209
Student-athletes as percentage of student body	27%	13%	23%
Athletics as percentage of institutional expenditures	6%	3%	5%
Spending increase gap	2%	5%	3%
Athletic expense per student-athlete	$9,193	$9,301	$9,203
Salaries, benefits and severances as percentage of total expenditures	51%	50%	50%
Coaches' compensation as percentage of total expenditures	34%	25%	31%
Administrative compensation as percentage of total expenditures	17%	23%	19%
Participation and game expenses as percentage of total expenditures	3%	3%	3%
Team travel expenses as percentage of total expenditures	12%	12%	12%
Facilities maintenance and administrative support expenses as percentage of total expenditures	15%	12%	14%



https://www.sportico.com/business/commerce/2021/college-sports-finances-database-intercollegiate-1234646029/

WHO GETS THE HIGHEST SALARY AMONG THE COLLEGE FOOTBALL COACHES?

AND HOW MUCH?

Rank	Coach	School	Total Pay	Conf.	School Pay	Maximum Bonus	Bonuses Paid (2024-25)
1	Kirby Smart	Georgia	$13,282,580	SEC	$13,003,000	$1,775,000	$800,000
2	Ryan Day	Ohio State	$12,575,000	Big 10	$12,500,000	$1,550,000	$1,050,000
3	Lincoln Riley	USC	$11,537,560*	Big 10	$11,537,560	-	-
4	Dabo Swinney	Clemson	$11,447,025*	ACC	$11,258,575	$1,500,000	$500,000
5	Steve Sarkisian	Texas	$10,800,000	SEC	$10,800,000	$1,850,000	$900,000
6	Dan Lanning	Oregon	$10,400,000	Big 10	$10,400,000	$1,675,000	$850,000
7	Kalen DeBoer	Alabama	$10,250,000	SEC	$10,250,000	$1,175,000	$100,000
8	Brian Kelly	LSU	$10,175,000*	SEC	$10,175,000	$1,325,000	$550,000
9	Bill Belichick	North Carolina	$10,100,000	ACC	$10,100,000	$3,350,000	-
10	Lane Kiffin	Ole Miss	$9,000,000*	SEC	$9,000,000	$2,600,000	$650,000

— Source: frontofficesports.com

— https://sportsdata.usatoday.com/ncaa/salaries/football/coach /

State executive salaries

See also: Compensation of state executive officers

Office and current official	Salary
Governor of Pennsylvania Josh Shapiro	$229,642
Lieutenant Governor of Pennsylvania Austin Davis	$192,897
Attorney General of Pennsylvania Dave Sunday	$191,061
Pennsylvania Secretary of State Al Schmidt	$165,341
Pennsylvania Secretary of Human Services Valerie Arkoosh	
Pennsylvania Public Utility Commission Kimberly Barrow	$177,027
Pennsylvania Secretary of Health Debra Bogen	
Pennsylvania Secretary of Revenue Pat Browne	
Pennsylvania Secretary of Transportation Mike Carroll	

2010

04

Name	Title / Role	Total Compensation
Steve Bornstein	Head of NFL Media and NFL Network	$7.44 million
Jeff Pash	Chief Labor Negotiator and General Counsel	$4.85 million
Eric Grubman	Executive VP, Marketing and Sponsorships	$4.44 million
Paul Tagliabue	Former Commissioner (Outside Consultant)	$3.30 million
Joe Browne	Executive VP of Communications	$1.70 million
Ray Anderson	Executive VP of Football Operations	$1.12 million
Anthony Noto	Chief Operating Officer (COO)	$853,000

Source: nbcsports.com





Source: en.as.com

HOW MUCH NICK SABAN EARNED DURING HIS CAREER?

04

- $150 million throughout his career
  - Alabama- $124 million
  - Miami Dolphins, LSU, Michigan State- $24 million
- He also owns nine car dealerships throughout Alabama, Louisiana, Tennessee, and Texas under his Dream Motor Group
- In November, Dream acquired two Mercedes dealerships in Miami estimated to be worth around $700 million.



Source: yahoo.com

05 IMPLICATIONS?

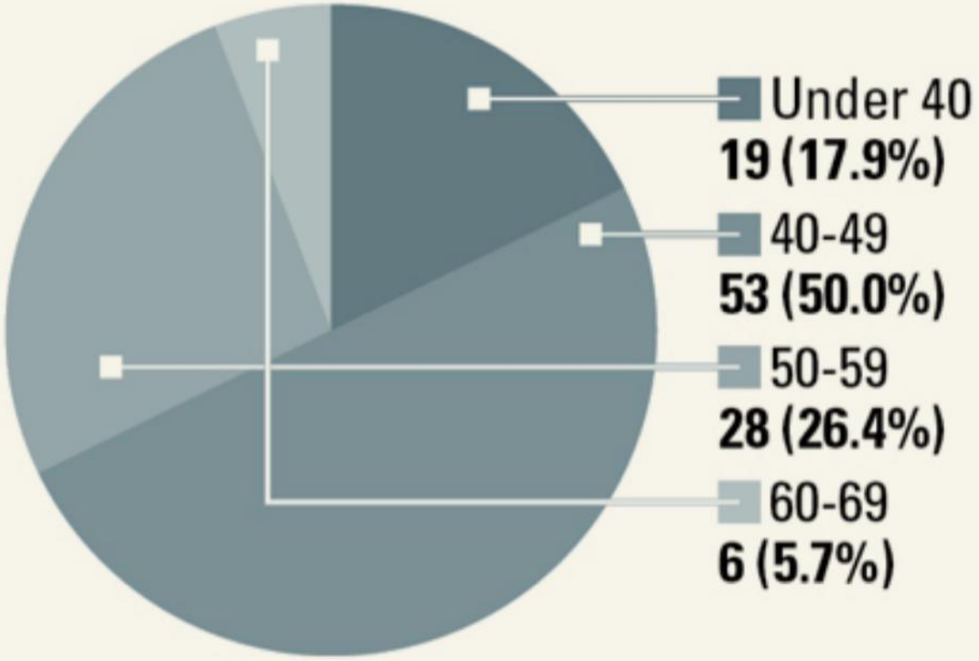
1. College athletics is a great industry
   Still competitive, but accessible- Use your resource
2. Consider D-II & D-III
   Masters degree is necessary
3. Need experiences

NCAA DIVISION I ADS (N = 106)

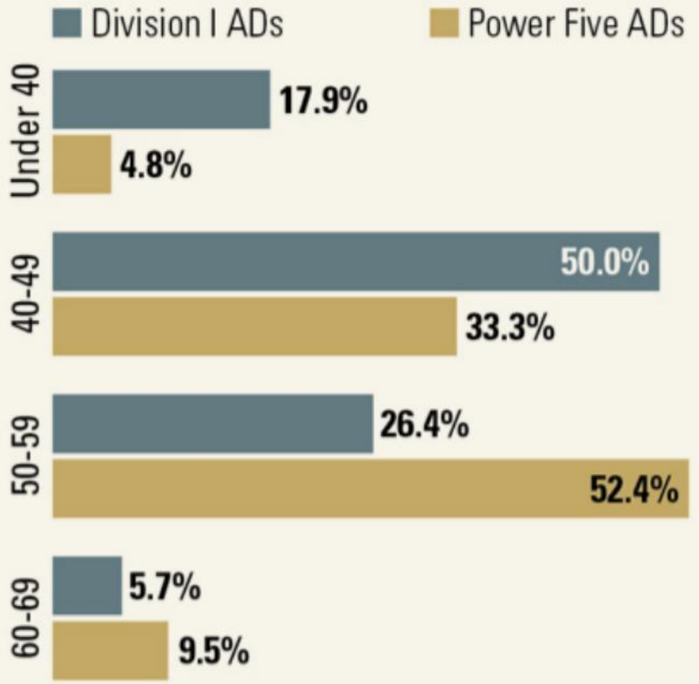
05

Division I ADs hired since May 2014

Age when hired

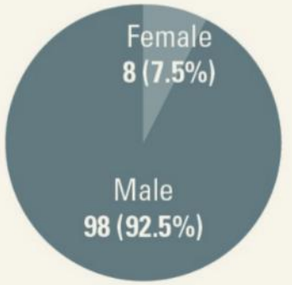


Age of Division I ADs vs. power five ADs hired since May 2014

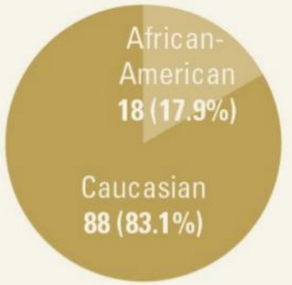


Diversity of Division I ADs hired since May 2014

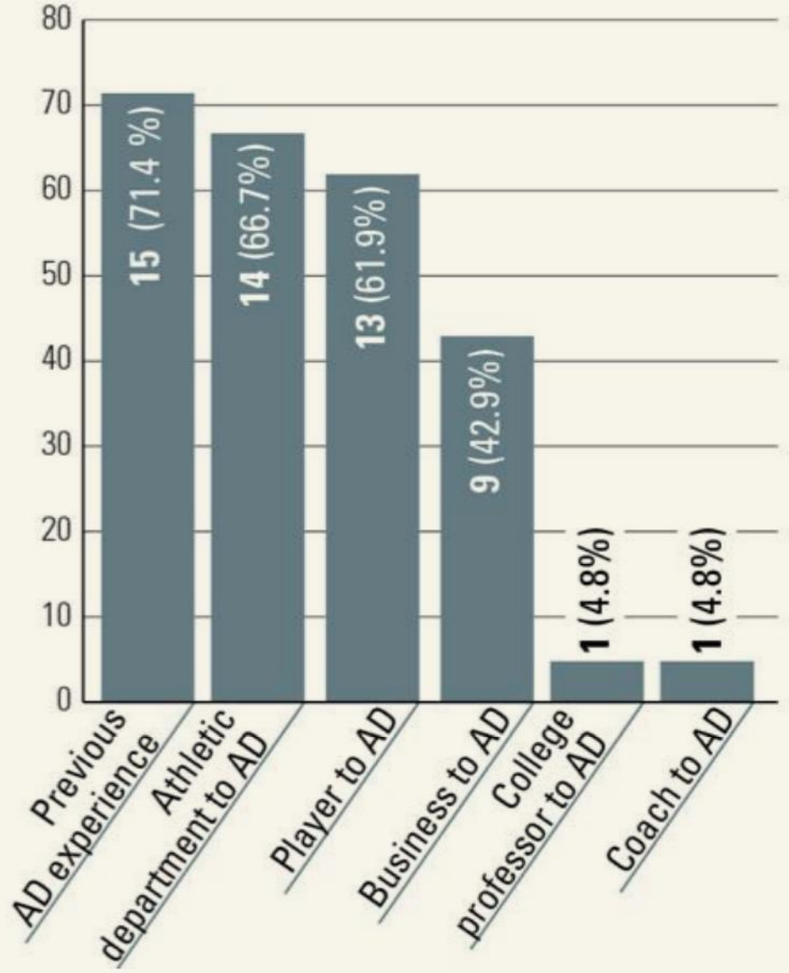
Gender



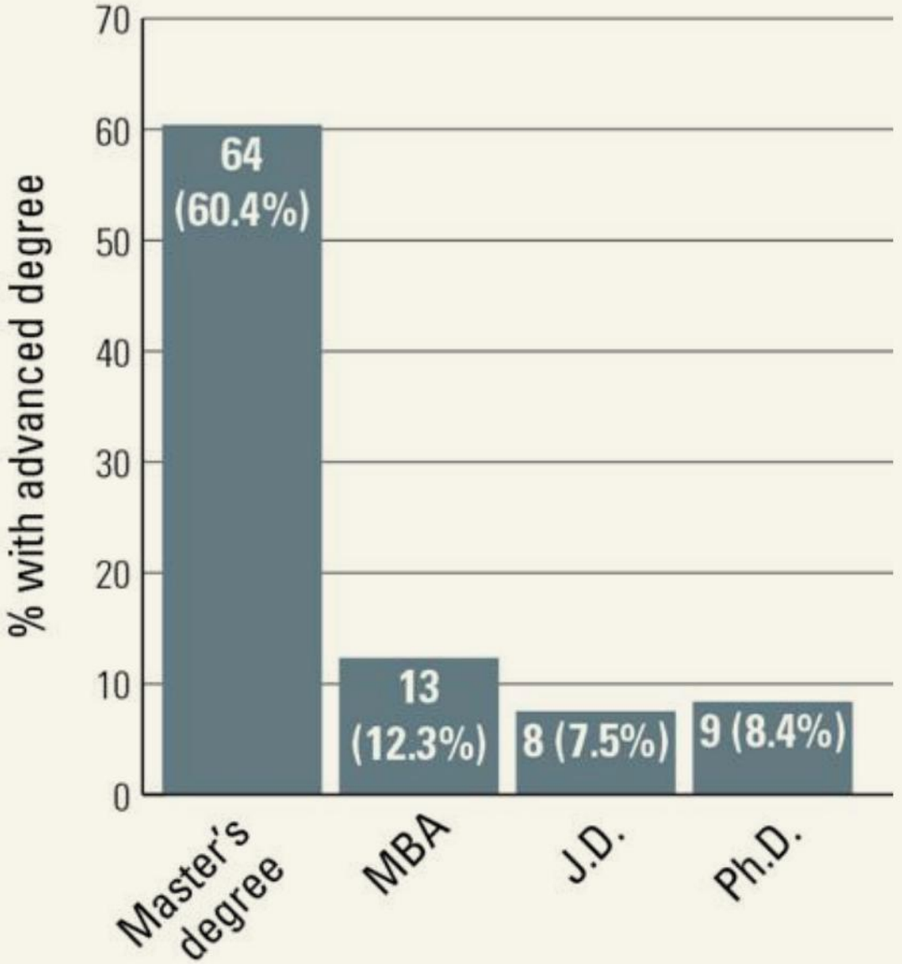
Ethnicity



Previous career experience(s) of power five ADs hired since May 2014



Division I ADs hired since May 2014 with advanced degrees



QUESTIONS?

